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FAIZUL NIZAN BIN ZULKEFLI
MIA 27673
AL JAFREE SALIHIN KUZAIMI PLT
LLP0006652-LCA & AF 1522
03855/10/2026 J

MTC ENGINEERING SDN. BHD.
Registration No: 200901000854 (843778-T)
(Incorporated in Malaysia)

DIRECTORS' REPORT & AUDITED FINANCIAL STATEMENTS 31 DECEMBER 2024

AL JAFREE SALIHIN KUZAIMI PLT
201506002872 (LLP0006652-LCA) & AF 1522
Chartered Accountants

Registration No: 200901000854 (843778-T)

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

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Registration No: 200901000854 (843778-T)

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

CORPORATE INFORMATION

DIRECTORS	:	MOHD FAUZI BIN YA'AKOB NORSHAH HAFEEZ BIN SHUAIB
COMPANY SECRETARIES	:	RIZAL HAFIZ BIN RUSLAN (LS 0008271) (SSM PC No. 201908001426) WAN NOR AZIAH BINTI WAN WOOK (MIA 42003) (SSM PC No. 201908004092)
REGISTERED OFFICE	:	JALAN TEKNORAT 2 ZON TEKNOLOGI MKN EMBASSY CYBERJAYA 63000 SEPANG SELANGOR DARUL EHSAN
PRINCIPAL PLACE OF BUSINESS	:	JALAN TEKNORAT 2 ZON TEKNOLOGI MKN EMBASSY CYBERJAYA 63000 SEPANG SELANGOR DARUL EHSAN
AUDITORS	:	AL JAFREE SALIHIN KUZAIMI PLT 201506002872 (LLP0006652-LCA) & AF 1522 CHARTERED ACCOUNTANTS NO. 555, JALAN SAMUDRA UTARA 1 TAMAN SAMUDRA 68100 BATU CAVES SELANGOR DARUL EHSAN

Registration No: 200901000854 (843778-T)

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

The directors have pleasure in presenting their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2024.

PRINCIPAL OF ACTIVITY

The Company is principally engaged in the business of engineering consultancy services.

There has been no significant changes in the nature of the principal activity during the financial year.

SUBSIDIARIES

The principal activities of the subsidiaries are disclosed in Note 5 to the financial statements.

FINANCIAL RESULTS

	Group 2024 RM	Company 2024 RM
Net profit for the year	1,324,750	1,348,549

In the opinion of the directors, the results of the operations of the Group and of the Company during the financial year were not substantially affected by any item, transaction or event of a material and unusual nature.

DIVIDEND

No dividend has been paid or declared by the Company since the end of the previous financial year. The directors do not recommend any dividend in respect of the current financial year.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions during the financial year other than as disclosed in the financial statements.

DIRECTORS' REPORT

DIRECTORS

The names of the directors in office since the beginning of financial year to the date of this report are :

Mohd Fauzi bin Ya'akob
Norshah Hafeez bin Shuaib

SHARE OPTIONS

No options have been granted by the Group and the Company to any parties during the year to take up unissued shares of the Group and of the Company.

No shares have been issued during the year by virtue of the exercise of any option to take up unissued shares of the Group and of the Company. As of the end of the year, there were no unissued shares of the Group and of the Company under options.

DIRECTORS' INTEREST

According to the register of directors' shareholding under the Companies Act 2016, the interests of the Directors in office at the end of the year in the ordinary shares of the Company and its related corporations during the year are as follows:

		Number of Ordinary Shares		
	As at 01.01.2024	Bought	Sold	As at 31.12.2024
Mohd Fauzi bin Ya'akob	13,965,000	-	-	13,965,000
Norshah Hafeez bin Shuaib	735,000	-	-	735,000

DIRECTORS' BENEFITS

During and at the end of the year, no arrangements subsisted to which the Company is a party, with the object or objects of enabling directors of the Group and of the Company to acquire benefits by means of the acquisition of share in, or debentures of the Group and of the Company or any other body corporate.

Since the end of the previous year, no director has received or become entitled to receive a benefit (other than a benefit included in the aggregate amount of remunerations received or due and receivable by the directors show in the financial statements or the fixed salary of a full-time employee of the Company) by reason of a contract made by the Company or a related corporation with the director or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

DIRECTORS' REMUNERATION

None of the directors of the Group and of the Company has received any remunerations from the Company during the year.

None of the directors of the Group and of the Company has received any other benefit otherwise than in cash from the Company during the year.

No payment has been paid to or payable to any third party in respect of the services provided to the Company by the directors or past directors of the Group and the Company during the year.

INDEMNIFYING DIRECTORS, OFFICERS AND AUDITORS

No indemnities have been given or insurance premiums paid, during or since the end of the year, for any person who is or has been the directors, officers and auditors of the Group and of the Company.

OTHER STATUTORY INFORMATION

(a) Before the statements of comprehensive income and statement of financial position of the Group and of the Company were made out, the directors took reasonable steps:-

(i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for expected credit losses and satisfied themselves that all known bad debts had been written off and that adequate allowance has been made for expected credit losses; and

(ii) to ensure that any current assets which were unlikely to realise their value as shown in the accounting records in the ordinary course of operations have been written down to an amount which they might be expected so to realise.

(b) At the date of this report, the directors are not aware of any circumstances which would render:-

(i) its necessary to write off any bad debts or the amount of the allowance of expected credit losses in the financial statements of the Group and of the Company inadequate to any substantial extent; and

(ii) the values attributed to current assets in the financial statements of the Group and of the Company misleading.

OTHER STATUTORY INFORMATION (CONTD.)

(c) At the date of this report, the directors are not aware of any circumstances which have arisen which would render adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate.

(d) At the date of this report, the Directors are not aware of any circumstances not otherwise dealt with in this report or financial statements of the Group and of the Company which would render any amount stated in the financial statements misleading.

(e) At the date of this report, there does not exist:

(i) any charge on the assets of the Group and the Company which has arisen since the end of the financial year which secures the liability of any other person; or

(ii) any contingent liability in respect of the Group and of the Company which has arisen since the end of the financial year.

(f) In the opinion of the directors:

(i) no contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which will or may affect the ability of the Group and of the Company to meet its obligations as and when they fall due; and

(ii) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Group and the Company for the financial year in which this report is made.

Registration No: 200901000854 (843778-T)

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

AUDITORS AND AUDITORS' REMUNERATION

The auditors, Al Jafree Salihin Kuzaimi PLT, have expressed their willingness to continue in office.

Auditors remuneration is as follows:

	Group/Company	
	2024	**2024**
	RM	**RM**
Al Jafree Salihin Kuzaimi PLT	75,600	75,000

Signed by the Board of Directors in accordance with a resolution of the directors dated 4 August 2025.

MOHD FAUZI BIN YA'AKOB
Director

NORSHAH HAFEEZ BIN SHUAIB
Director

Kuala Lumpur, Malaysia.

Registration No: 200901000854 (843778-T)

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS
PURSUANT TO SECTION 251 (2) OF THE COMPANIES ACT 2016

We, **MOHD FAUZI BIN YA'AKOB** and **NORSHAH HAFEEZ BIN SHUAIB**, being the directors of **MTC ENGINEERING SDN. BHD.**, do hereby state that, in the opinion of the directors, the accompanying financial statements are drawn up in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia so as to give a true and fair view of the financial position of the Group and of the Company as at 31 December 2024 and the financial performance and the cash flows of the Group and of the Company for the financial year then ended.

Signed by the Board of Directors in accordance with a resolution of the directors dated 4 August 2025.

MOHD FAUZI BIN YA'AKOB
Director

NORSHAH HAFEEZ BIN SHUAIB
Director

Kuala Lumpur, Malaysia.

STATUTORY DECLARATION
PURSUANT TO SECTION 251 (1)(b) OF THE COMPANIES ACT 2016

I, **MOHD FAUZI BIN YA'AKOB**, being the director primarily responsible for the financial management of **MTC ENGINEERING SDN. BHD.**, do solemnly and sincerely declare that the accompanying financial statements are in my opinion correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the above named at ***Kuala Lumpur***)
in the state of ***Federal Territory***
on 4 August 2025

MOHD FAUZI BIN YA'AKOB

Before me,

PESURUHJAYA SUMPAH
W791
MOHAMMED AZWAN
BIN MD ARIF
BC/M/1641
01.01.2023-31.12.2025
MALAYSIA

568-8-20, 8th Floor,
Kompleks Mutiara,
Jalan Ipoh,
51200 Kuala Lumpur

SALIHIN
AL JAFREE SALIHIN KUZAIMI PLT
201506002872 (LLP0006652-LCA) & AF 1522

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

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FAIZUL NIZAN BIN ZULKEFLI
MIA 27673
AL JAFREE SALIHIN KUZAIMI PLT
LLP0006652-LCA & AF 1522
03855/10/2026 J

Report on the financial statements

Opinion

We have audited the financial statements of MTC Engineering Sdn. Bhd., which comprise the statements of financial position as at 31 December 2024 of the Group and of the Company, and the statements of comprehensive income, statements of changes in equity and statements of cash flows for the Group and the Company for the year then ended, and notes to the financial statements, including material accounting policies, as set out on the accompanying pages.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Company as at 31 December 2024, and of their financial performance and their cash flows for the year then ended in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Group and of the Company are responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements of the Group and the Company and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Company does not cover the Directors' Report and we do not express any form of assurance conclusion thereon.

AL JAFREE SALIHIN KUZAIMI PLT
201506002872 (LLP0006652-LCA) & AF 1522
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ask1522@salihin.com.my

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Tel : +607-2071 728
Fax : +607-2071 729
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93400 Kuching, Sarawak.
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Fax : +6082-240 359
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PERAK BRANCH:
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36000 Teluk Intan, Perak Darul Ridzuan.
Tel : +605 623 1602
Fax : +603 6184 2524
Email : askli@salihin.com.my

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MTC ENGINEERING SDN. BHD. (CONTD.)
(Incorporated in Malaysia)

Information Other than the Financial Statements and Auditors' Report Thereon (contd.)

In connection with our audit of the financial statements of the Group and of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Group and of the Company are responsible for the preparation of the financial statements of the Group and the Company that give a true and fair view in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of the financial statements of the Group and the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Company, the directors are responsible for assessing the Group and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MTC ENGINEERING SDN. BHD. (CONTD.)
(Incorporated in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements (contd.)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group and the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Company, including the disclosures, and whether the financial statements of the Group and of the Company represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the Group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the Group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

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MIA 27673
AL JAFREE SALIHIN KUZAIMI PLT
LLP0006652-LCA & AF 1522
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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MTC ENGINEERING SDN. BHD. (CONTD.)
(Incorporated in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements (contd.)

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

In accordance with the requirements of the Companies Act 2016 in Malaysia, we report that the subsidiary of which we have not acted as auditors, are disclosed in Note 5 to the financial statements.

Other matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act, 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

AL JAFREE SALIHIN KUZAIMI PLT
201506002872 (LLP0006652-LCA) & AF 1522
CHARTERED ACCOUNTANTS

FAIZUL NIZAN BIN ZULKEFLI
NO. 03855/10/2026 J
CHARTERED ACCOUNTANT

Dated: 04 AUG 2025

Kuala Lumpur, Malaysia

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MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2024

	Note	Group 2024 RM	2023 RM Restated	2022 RM Restated
Non-current Assets				
Property, plant and equipment	4	91,941,588	115,632,380	142,721,497
Investment	6	15,000	16,000	8,500
		91,956,588	115,648,380	142,729,997
Current Assets				
Trade and other receivables	7	9,251,808	6,151,048	11,036,255
Contract asset	8	520,925	1,695,450	2,161,250
Deposits and prepayments	9	3,872,382	2,545,521	2,013,642
Cash and bank balances	10	3,635,684	4,079,785	8,555,014
		17,280,799	14,471,804	23,766,161
Total Assets		109,237,387	130,120,184	166,496,158
Equity				
Share capital	11	14,700,000	14,700,000	14,700,000
Retained earnings	12	41,688,315	40,363,565	43,269,567
		56,388,315	55,063,565	57,969,567
Non-current Liabilities				
Trade and other payables	13	8,682,294	14,491,058	15,069,525
Borrowings	14	27,348,422	19,022,237	50,528,140
Deferred tax liability	16	31,200	-	1,607,832
Lease liability		-	-	1,866,458
		36,061,916	33,513,295	69,071,955
Current Liabilities				
Trade and other payables	13	10,532,727	12,186,782	22,921,202
Borrowings	14	6,211,050	28,792,059	13,292,247
Current tax liabilities		43,379	564,483	2,064,483
Hire purchase		-	-	1,176,704
		16,787,156	41,543,324	39,454,636
Total Liabilities		52,849,072	75,056,619	108,526,591
Total Equity and Liabilities		109,237,387	130,120,184	166,496,158

The accompanying notes form an integral part of the financial statements.

Registration No: 200901000854 (843778-T)

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MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2024

	Note	Company 2024 RM	2023 RM Restated	2022 RM Restated
Non-current Assets				
Property, plant and equipment	4	91,941,588	115,632,380	142,721,497
Investment in subsidiaries	5	10	10	10
Investment	6	15,000	16,000	8,500
		91,956,598	115,648,390	142,730,007
Current Assets				
Trade and other receivables	7	9,342,163	6,240,053	11,070,063
Contract asset	8	520,925	1,695,450	2,161,250
Deposits and prepayments	9	3,872,382	2,545,521	2,013,642
Cash and bank balances	10	3,630,563	4,074,664	8,555,013
		17,366,033	14,555,688	23,799,968
Total Assets		109,322,631	130,204,078	166,529,975
Equity				
Share capital	11	14,700,000	14,700,000	14,700,000
Retained earnings	12	41,797,659	40,449,110	43,304,575
		56,497,659	55,149,110	58,004,575
Non-current Liabilities				
Trade and other payables	13	8,682,294	14,491,058	15,069,525
Borrowings	14	27,348,422	19,022,237	50,528,140
Deferred tax liability	16	31,200	-	1,607,832
Lease liability		-	-	1,866,458
		36,061,916	33,513,295	69,071,955
Current Liabilities				
Trade and other payables	13	10,508,627	12,185,131	22,920,011
Borrowings	14	6,211,050	28,792,059	13,292,247
Current tax liabilities		43,379	564,483	2,064,483
Hire purchase		-	-	1,176,704
		16,763,056	41,541,673	39,453,445
Total Liabilities		52,824,972	75,054,968	108,525,400
Total Equity and Liabilities		109,322,631	130,204,078	166,529,975

The accompanying notes form an integral part of the financial statements.

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MTC ENGINEERING SDN. BHD.
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STATEMENTS OF COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

		Group		
	Note	2024 RM	2023 RM Restated	2022 RM Restated
Revenue	17	39,288,422	45,897,410	85,375,864
Cost of sales	18	(9,147,658)	(14,931,975)	(38,287,935)
Gross profit		30,140,764	30,965,435	47,087,929
Other operating income	19	2,935,500	1,994,018	5,139,230
Staff cost	20	(1,760,664)	(2,159,711)	(2,488,463)
Other administration expenses		(27,985,992)	(29,286,947)	(43,629,381)
Profit/(Loss) from operations		3,329,608	1,512,795	6,109,315
Finance costs	21	(1,973,658)	(6,026,629)	(5,573,534)
Profit/(Loss) before tax	22	1,355,950	(4,513,834)	535,781
Taxation	23	(31,200)	1,607,832	6,549,064
Net profit/(loss) for the year, representing total comprehensive income/(loss) for the year		1,324,750	(2,906,002)	7,084,845

The accompanying notes form an integral part of the financial statements.

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MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

		Company		
	Note	2024 RM	2023 RM Restated	2022 RM Restated
Revenue	17	39,288,422	45,897,410	85,375,864
Cost of sales	18	(9,147,658)	(14,931,975)	(38,287,935)
Gross profit		30,140,764	30,965,435	47,087,929
Other operating income	19	2,935,500	1,993,185	5,139,230
Staff cost	20	(1,760,664)	(2,159,711)	(2,488,463)
Other administration expenses		(27,962,193)	(29,235,577)	(43,597,353)
Profit/(Loss) from operations		3,353,407	1,563,332	6,141,343
Finance costs	21	(1,973,658)	(6,026,629)	(5,573,534)
Profit/(Loss) before tax	22	1,379,749	(4,463,297)	567,809
Taxation	23	(31,200)	1,607,832	6,549,064
Net profit/(loss) for the year, representing total comprehensive income/(loss) for the year		1,348,549	(2,855,465)	7,116,873

The accompanying notes form an integral part of the financial statements.

Registration No: 200901000854 (843778-T)

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

Group	**Share capital RM**	**Retained earnings RM**	**Total RM**
At 1 January 2024 (Restated)	14,700,000	40,363,565	55,063,565
Total comprehensive income for the year	-	1,324,750	1,324,750
At 31 December 2024	14,700,000	41,688,315	56,388,315

	Share capital RM	**Retained earnings RM**	**Total RM**
At 1 January 2022 (Previously reported)	14,700,000	36,184,722	50,884,722
Total comprehensive income for the year (Previously reported)	-	8,065,564	8,065,564
Effect of prior year adjustment	-	(980,719)	(980,719)
Total comprehensive income for the year (Restated)	-	7,084,845	7,084,845
At 31 December 2022 (Restated)	14,700,000	43,269,567	57,969,567
Total comprehensive income for the year (Previously reported)	-	2,013,526	2,013,526
Effect of prior year adjustment	-	(4,919,528)	(4,919,528)
Total comprehensive income/(loss) for the year (Restated)	-	(2,906,002)	(2,906,002)
At 31 December 2023 (Restated)	14,700,000	40,363,565	55,063,565

The accompanying notes form an integral part of the financial statements.

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

Company	Share capital RM	Retained earnings RM	Total RM
At 1 January 2024 (Restated)	14,700,000	40,449,110	55,149,110
Total comprehensive income for the year	-	1,348,549	1,348,549
At 31 December 2024	14,700,000	41,797,659	56,497,659

	Share capital RM	Retained earnings RM	Total RM
At 1 January 2022 (Previously reported)	14,700,000	36,187,702	50,887,702
Total comprehensive income for the year (Previously reported)	-	8,097,592	8,097,592
Effect of prior year adjustment	-	(980,719)	(980,719)
Total comprehensive income for the year (Restated)	-	7,116,873	7,116,873
At 31 December 2022 (Restated)	14,700,000	43,304,575	58,004,575
Total comprehensive income for the year (Previously reported)	-	2,064,063	2,064,063
Effect of prior year adjustment	-	(4,919,528)	(4,919,528)
Total comprehensive loss for the year (Restated)	-	(2,855,465)	(2,855,465)
At 31 December 2023 (Restated)	14,700,000	40,449,110	55,149,110

The accompanying notes form an integral part of the financial statements.

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Group		
	2024	**2023**	**2022**
	RM	**RM**	**RM**
		Restated	**Restated**
Cash Flows from Operating Activities			
Profit/(Loss) before tax	1,355,950	(4,513,834)	535,781
Adjustments for			
Bad debt written off	456,562	27,176	4,675,754
Depreciation of property, plant and equipment	23,770,162	25,429,740	25,608,639
Depreciation of right-of-use asset	-	578,032	6,936,390
Gain on disposal of right-of-use asset	-	(1,357,593)	-
Fair value gain on quoted investment	-	(7,500)	(4,500)
(Reversal)/Allowance for expected credit loss	(123,199)	123,199	1,240
Unrealized gain on foreign exchange	(16,322)	(43,462)	(220,093)
Fair value loss on investment	1,000	-	-
Interest expense	1,973,658	6,026,629	5,573,534
Operating profit before working capital changes	27,417,811	26,262,387	43,106,745
Cash Flows from Operating Activities			
(Increase)/Decrease in trade and other receivables	(3,417,601)	4,723,097	7,259,815
Decrease in contract asset	1,174,525	465,800	1,292,915
Increase in deposits	(1,326,861)	(531,879)	(1,986,774)
Decrease in trade and other payables	(5,803,467)	(20,348,416)	(38,162,532)
Cash generated from operating activities	18,044,407	10,570,989	11,510,169
Tax paid	(1,200,000)	(1,500,000)	(1,232,000)
Interest paid	(1,973,658)	(1,235,101)	(4,852,815)
Net cash generated from operating activities	14,870,749	7,835,888	5,425,354
Cash Flow from Investing Activity			
Purchase of property, plant and equipment	(79,370)	(74,721)	(3,098,016)
Net cash used in investing activity	(79,370)	(74,721)	(3,098,016)

The accompanying notes form an integral part of the financial statements.

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTD.)

	Group		
	2024	**2023**	**2022**
	RM	**RM**	**RM**
		Restated	**Restated**
Cash Flows from Financing Activities			
Proceed from borrowings	-	-	49,712,929
Repayment of borrowings	(15,170,139)	(12,625,149)	(38,488,018)
Repayment of lease liabilities	-	(591,903)	(7,484,841)
Net cash (used in)/generated from financing activities	(15,170,139)	(13,217,052)	3,740,070
Net (decrease)/increase in cash and cash equivalents	(378,760)	(5,455,885)	6,067,408
Cash and cash equivalents beginning of year	3,099,129	8,555,014	2,487,606
Cash and cash equivalents at end of year	2,720,369	3,099,129	8,555,014
Cash and cash equivalents at end of year comprised :			
Cash and bank balances	3,635,684	4,079,785	8,555,014
Bank overdraft	(915,315)	(980,656)	-
	2,720,369	3,099,129	8,555,014

The accompanying notes form an integral part of the financial statements.

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Company		
	2024	**2023**	**2022**
	RM	**RM**	**RM**
		Restated	**Restated**
Cash Flows from Operating Activities			
Profit/(Loss) before tax	1,379,749	(4,463,297)	567,809
Adjustments for			
Bad debt written off	456,562	27,176	4,675,754
Depreciation of property, plant and equipment	23,770,162	25,429,740	25,608,639
Depreciation of right-of-use asset	-	578,032	6,936,390
Gain on disposal of right-of-use asset	-	(1,357,593)	-
Fair value gain on quoted investment	-	(7,500)	(4,500)
Allowance/(Reversal) for expected credit loss	(123,199)	123,199	1,240
Unrealized gain on foreign exchange	(16,322)	(43,462)	(220,093)
Fair value loss on investment	1,000	-	-
Interest expense	1,973,658	6,026,629	5,573,534
Operating profit before working capital changes	27,441,610	26,312,924	43,138,773
Cash Flows from Operating Activities			
(Increase)/Decrease in trade and other receivables	(3,419,151)	4,723,097	7,039,722
Decrease in contract asset	1,174,525	465,800	1,292,915
Increase in deposits	(1,326,861)	(531,879)	(1,986,774)
Decrease in trade and other payables	(5,825,716)	(20,404,073)	(37,974,467)
Cash generated from operating activities	18,044,407	10,565,869	11,510,169
Tax paid	(1,200,000)	(1,500,000)	(1,232,000)
Interest paid	(1,973,658)	(1,235,101)	(4,852,815)
Net cash generated from operating activities	14,870,749	7,830,768	5,425,354
Cash Flow from Investing Activity			
Purchase of property, plant and equipment	(79,370)	(74,721)	(3,098,016)
Net cash used in investing activity	(79,370)	(74,721)	(3,098,016)

The accompanying notes form an integral part of the financial statements.

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

STATEMENTS OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTD.)

	Company		
	2024	**2023**	**2022**
	RM	**RM**	**RM**
		Restated	**Restated**
Cash Flows from Financing Activities			
Proceed from borrowings	-	-	49,712,929
Repayment of borrowings	(15,170,139)	(12,625,149)	(38,488,018)
Repayment of lease liabilities	-	(591,903)	(7,484,841)
Net cash (used in)/generated from financing activities	(15,170,139)	(13,217,052)	3,740,070
Net (decrease)/increase in cash and cash equivalents	(378,760)	(5,461,005)	6,067,408
Cash and cash equivalents beginning of year	3,094,008	8,555,013	2,487,605
Cash and cash equivalents at end of year	2,715,248	3,094,008	8,555,013
Cash and cash equivalents at end of year comprised :			
Cash and bank balances	3,630,563	4,074,664	8,555,013
Bank overdraft	(915,315)	(980,656)	-
	2,715,248	3,094,008	8,555,013

The accompanying notes form an integral part of the financial statements.

1. CORPORATE INFORMATION

The principal activity of the Company is engineering consultancy services. There has been no significant changes to the principal activities of the Company during the financial year.

The Company is a private Company incorporated and domiciled in Malaysia.

The registered office and principal place of business of the Company is located at Jalan Teknorat 2, Zon Teknologi MKN Embassy, Cyberjaya, 63000 Sepang, Selangor Darul Ehsan.

The financial statements of the Company are presented in Ringgit Malaysia ("RM").

The financial statements were authorised for issue by the Board of Directors, in accordance with a resolution of the directors on 04 AUG 2025

2. MATERIAL ACCOUNTING POLICIES

2.1 Basis of compliance

The financial statements of the Group and of the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs"), the International Financial Reporting Standards ("IFRSs") and Companies Act 2016 in Malaysia.

The financial statements of the Group and of the Company have also been prepared on a historical cost basis, except for financial instruments that has been measured at their fair values.

The financial statements are presented in Ringgit Malaysia ("RM").

2.2 Changes in accounting policies

The accounting policies adopted are consistent with those of the previous financial year except as follows:

On 1 January 2024, the Company adopted the following Amendments mandatory for annual financial periods beginning on or after 1 January 2024:

Descriptions	Effective for annual periods beginning on or after
Amendments to MFRS 101: Presentation of Financial Statements (Classification of Liabilities as Current or Non-Current) and (Non-current Liabilities with Covenants)	1 January 2024

2. MATERIAL ACCOUNTING POLICIES (CONTD.)

2.2 Changes in accounting policies (contd.)

Descriptions	Effective for annual periods beginning on or after
Amendments to MFRS 16: Lease (Lease Liability in a Sale and Leaseback)	1 January 2024
Amendments to MFRS 107 and MFRS 7: Disclosure of Supplier Finance Arrangements	1 January 2024

The adoption of the abovementioned standards and amendments did not have any material financial impact on the financial statements of the Company.

2.3 Standards and amendments issued but not yet effective

The Standard, Amendments and Annual Improvements that are issued but not yet effective up to the date of issuance of the Company's financial statements are disclosed below.

Description	Effective for annual periods beginning on or after
Amendment to MFRS 121: Lack of Exchangeability	1 January 2025
Annual Improvements to MFRS Accounting Standards - Volume 11	1 January 2026
Amendment to MFRS 9 and MFRS 7: (Classification and Measurement of Financial Instruments) and (Contracts Referencing Nature-dependent Electricity)	1 January 2026
Amendment to MFRS 18: Presentation and Disclosure in Financial Statements	1 January 2027
Amendment to MFRS 19: Subsidiaries without Public Accountability (Disclosures)	1 January 2027
Amendment to MFRS 10 and MFRS 128: Sale or Contribution of Assets between Investor and its Associate or Joint Venture	Deferred

The Company intends to adopt the abovementioned standards and amendments when they become effective. The adoption is not expcected to have any material impact on the financial statements of the Company, except as disclosed below:

(i) MFRS 18: Presentation and Disclosure in Financial Statements

MFRS 18 introduces new categories and subtotals in the statement of profit or loss. It also requires disclosure of management-defined performance measures and includes new requirements for the location, aggregation and disaggregation of financial information.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.3 Standards and amendments issued but not yet effective (contd.)

(i) MFRS 18: Presentation and Disclosure in Financial Statements (contd.)

MFRS 18 requires an entity to classify all income and expenses within its statement of profit or loss into one of five categories: operating; investing; financing; income taxes; and discontinued operations. MFRS 18 also requires an entity to present subtotals and totals for 'operating profit or loss', 'profit or loss before financing and income taxes' and 'profit or loss'.

The Group and the Company is currently assessing the financial impact that may arise from the adoption of MFRS 18.

2.4 Business consolidation and combinations

(i) Subsidiaries

Subsidiaries are entities, including unincorporated entities, controlled by the Group. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. Control exists when the Group has the ability to exercise its power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, potential voting rights that presently are exercisable are taken into account.

Investments in subsidiaries are measured in the Company's statement of financial position at cost less impairment losses, unless the investment is classified as held for sale (or included in a disposal group that is classified as held for sale). The cost of investments includes transaction costs.

(ii) Business combination

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.4 Business consolidation and combinations (contd.)

(ii) Business combination (contd.)

The Group measures the cost of goodwill at the acquisitions date as:

- The fair value of the consideration transferred; plus
- The recognised amount of any non-controlling interest in the acquire; plus
- If the business combination is achieved in stages, the fair value of the existing equity interest in the acquisition; less
- The net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

For each business combination, the Group elects whether it measures the noncontrolling interests in the acquire either at fair value or the appropriate share of the acquiree's identifiable net assets at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

(iii) Changes in Group composition

Where a subsidiary issues new equity shares to minority interests for cash consideration and the issue price has been established at fair value, the reduction in the Group's interests in the subsidiary is accounted for as a disposal of equity interest with the corresponding gain or loss recognised in the statements of comprehensive income.

When a group purchases a subsidiary's equity shares from minority interests for cash consideration and the purchase price has been established at fair value, the accretion of the Group's interests in the subsidiary is accounted for as a purchase of equity interest for which the acquisition method of accounting is applied.

The Group treats all other changes in group composition as equity transactions between the Group and its minority shareholders. Any difference between the Group's share of net assets before and after the change, and any consideration received or paid, is adjusted to or against Group reserves.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.4 Business consolidation and combinations (contd.)

(iii) Changes in Group composition (contd.)

Intra-group balances, and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

2.5 Property, plant and equipment

All items of property, plant and equipment are initially recorded at cost. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred.

Subsequent to recognition, property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses, if any. The policy of recognition and measurement of impairment loss is in accordance with Note 2.6 to the financial statements.

Depreciation of property, plant and equipment is provided for on a straight line basis to write off the cost of each asset to its residual value or other estimated useful life at the following annual rates :

Furniture and fittings	20%
Motor vehicles	20%
Office equipments	10% - 40%
Vessel and project equipments	10%
Renovation	10%
Freehold building	2%

The residual values, useful life and depreciation method are reviewed at each financial year-end to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of property, plant and equipment.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.5 Property, plant and equipment (contd.)

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The difference between the net disposal proceeds, if any and the net carrying amount is recognised in profit or loss and the unutilised portion of the revaluation surplus on that item is taken directly to retained earnings.

2.6 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when an annual impairment assessment for an asset is required, the Group makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. For the purpose of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units ("CGU")).

In assessing value in use, the estimated future cash flows expected to be generated by the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Where the carrying amount of an asset exceeds its recoverable amount, the asset is written down to its recoverable amount. Impairment losses recognised in respect of a CGU or groups of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to those units of groups of units and then, to reduce the carrying amount of the other assets in the unit or groups of units on a pro-rata basis.

Impairment losses are recognised in profit or loss except for assets that are previously revalued where the revaluation was taken to other comprehensive income. In this case the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss unless the asset is measured at revalued amount, in which case the reversal is treated as a revaluation increase. Impairment loss on goodwill is not reversed in a subsequent period.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.7 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

(i) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when, the entity becomes party to the contractual provisions of the instruments.

Subsequent measurement

Financial assets are classified, at initial recognition, and subsequently measured at amortised cost, fair value through other comprehensive income, and fair value through profit or loss. Classification of financial assets are determined on initial recognition and are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change of the business model.

Subsequent measurement of financial assets depends on its classification. The classification of financial assets is described below:

- Amortised cost - this category comprises financial assets that are held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise to cash flows on specified dates that are SPPI on the principal amount outstanding. Subsequent to initial recognition, the amortised cost of a financial asset is the amount at initial recognition minus principal repayments plus cumulative amortisation using the effective interest method and reduced by any impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Gains and losses are recognised in profit or loss when the asset is derecognised, modified, or impaired.

All financial assets, except for those measured at fair value through profit or loss and equity investments measured at fair value through other comprehensive income, are subject to impairment assessment.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.7 Financial instruments (contd.)

(i) Financial assets (contd.)

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised when:

i. The contractual rights to receive cash flows from the asset have expired; or

ii. The Company has transferred its rights to receive the cash flows from the assets and has transferred substantially all risks and rewards related to the asset; or

iii. The Company has transferred its rights to receive the cash flows from the assets and has not retained control of the assets; or

iv. The Company has assumed an obligation to pay the cash flows from the asset in full without material delay to a third party under a 'pass-through' arrangement.

When the Company has transferred its rights to receive cash flows from an asset or has entered a 'pass-through' arrangement, but is not able to derecognise the asset, the Company has to continue recognising the transferred asset to the extent of its continuing involvement and to recognise an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

(ii) Financial Liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the entity becomes party to the contractual provisions of the instruments. Financial liabilities are classified, at initial recognition, as financial liabilities at amortised cost or financial liabilities at fair value through profit or loss.

The Company initially measures a financial liability at its fair value minus, in the case of a financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the issue of the financial liability.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.7 Financial instruments (contd.)

(ii) Financial Liabilities (contd.)

Subsequent measurement

The Company measures the financial liabilities depending on their classification, as described below:

- Amortised cost - Financial liabilities are measured at amortised cost using the effective interest method, which allocates interest expenses at a constant rate over the term of the financial liabilities. The effective interest rate is calculated at initial recognition and is the rate that exactly discounts the estimated future cash flows (including all fees and points paid that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability to the amortised cost of a financial liability.

Subsequent to initial recognition, the amortised cost of a financial liability is the amount at initial recognition minus repayments, plus the cumulative amortisation using the effective interest method.

Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the effective interest rate amortisation process.

- Fair value through profit or loss - The fair value through profit or loss category comprises financial liabilities that are either held for trading or are designated as fair value through profit or loss to eliminate or significantly reduce a measurement or recognition inconsistency that would otherwise arise from measuring assets or liabilities or recognising the gains and losses on them on different bases. This includes derivative financial liabilities (except for derivatives that are designated as effective hedging instruments). The changes in fair value of these financial liabilities are recognised in profit or loss.

Derecognition

A financial liability is derecognised when the obligation under the liability expires or is discharged or cancelled. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such a replacement or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in profit or loss.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.7 Financial instruments (contd.)

(iii) Offsetting of financial instruments

Financial assets and financial liabilities are offset, and the net amount is reported in the statements of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

2.8 Impairment of financial assets

The Group and the Company assess on a forward-looking basis, the expected credit losses associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

The Group and the Company has one type of financial instruments that are subjected to the Expected Credit Loss ("ECL") model, that is other receivables.

While cash and cash equivalents are also subject to the impairment requirements of MFRS 9, the identified impairment loss was immaterial.

ECL represents a probability-weighted estimate of the difference between present value of cash flows according to contract and present value of the cash flows the Company expected to receive, over the remaining life of the financial instruments.

The measurement of ECL reflects:

(i) An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
(ii) The time value of money; and
(iii) Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions, and forecasts of future economic conditions.

For other receivables, at each reporting date the Group and the Company measure ECL through loss allowance at an amount equal to 12-month ECL if credit risk on a financial instrument or a group of financial instruments has not increased significantly since initial recognition. Other receivables mainly consist of interest receivables, hence the identified impairment loss was immaterial.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.8 Impairment of financial assets (contd.)

Write off

Financial assets are written off when the Group and the Company has exhausted all practical recovery efforts and has concluded that there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount.

Impairments are presented as net impairment losses within operating profit or loss. Subsequent recoveries of amounts previously written off are credited against the same line item.

2.9 Cash and cash equivalents

Cash and cash equivalents comprise bank balances and short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value with original maturity periods of three (3) months or less.

Cash and cash equivalents (other than bank overdrafts) are categorised and measured as loans and receivables in accordance with policy Note 2.7.

2.10 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.11 Equity and instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.12 Revenue from contracts with customers

Revenue from contracts with customers is recognised by reference to each distinct performance obligation in the contract with customer. Revenue from contracts with customers is measured at its transaction price, being the amount of consideration which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, net of goods and services tax or sales and services tax, returns, rebates and discounts. Transaction price is allocated to each performance obligation on the basis of the relative standalone selling prices of each distinct good or services promised in the contract. Depending on the substance of the contract, revenue is recognised when the performance obligation is satisfied, which may be at a point in time or over time.

The Group recognises revenue from contracts with customers for the provision of services and sale of goods based on the five-step model as set out below:

(a) Identify contract with a customer

A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations and sets out the criteria that must be met.

(b) Identify performance obligations in the contract

A performance obligation is a promise in a contract with a customer to transfer a good or service to the customer.

(c) Determine the transaction price

The transaction price is the amount of consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

If the consideration in a contract includes a variable amount, the Group estimates the amount of consideration to which it will be entitled in exchange for transferring the goods or services to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.12 Revenue from contracts with customers (contd.)

(d) Allocate the transaction price to the performance obligation in the contract

For a contract that has more than one performance obligation, the Group allocates the transaction price to each performance obligation in an amount that depicts the amount of consideration to which the Group expects to be entitled in exchange for satisfying each performance obligation.

(e) Recognise revenue when (or as) the Group satisfies a performance obligation

The Group satisfies a performance obligation and recognise revenue over time if the Group's performance:

(i) Do not create an asset with an alternative use to the Group and has an enforceable right to payment for performance obligation completed to-date; or

(ii) Create or enhance an asset that the customer controls as the asset is created or enhanced; or

(iii) Provide benefits that the customer simultaneously receives and consumes as the Group performs.

For performance obligations where any one of the above conditions are met, revenue is recognised over time at which the performance obligation is satisfied.

For performance obligations that the Group satisfies over time, the Group determined that the input method is the best method in measuring progress of the services because there is direct relationship between the Group's effort and the transfer of service to the customer.

The disclosures of significant accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3.

The following describes the performance obligation in contracts with customers:

(a) Rendering of services

The Group provides maintenance services, software support and license fee and disaster recovery and facility management services. These services represent a series of daily services that are individually satisfied over time because the customers simultaneously receive and consume the benefits provided by the Group. The Group applies the time elapsed method to measure progress.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.12 Revenue from contracts with customers (contd.)

(e) Recognise revenue when (or as) the Group satisfies a performance obligation (contd.)

(b) Contract costs

The Group incurs costs to fulfil a contract with a customer. The Group capitalises the incremental costs of obtaining a contract that meet criteria in MFRS 15. Costs incurred by the Group to fulfil a contract prior to the commencement of its performance (e.g., tendering costs) are mostly general and administrative expenses that are expensed as incurred.

Any capitalised contract costs assets is amortised on a systematic basis that is consistent with the Group's transfer of the related goods or services to the customer. Capitalised contract costs are subject to an impairment assessment at the end of each reporting period. Impairment losses are recognised in profit or loss.

(c) Contract balances

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional.

Trade receivables

A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in Note 3.5.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognised when the payment is made or the payment is due (whichever is earlier). Contract liabilities are recognised as revenue when the Group performs under the contract.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.13 Employee benefits

Short term employee benefits

Short-term employee benefit obligations in respect of salaries, annual bonuses, paid annual leave and social security contribution are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined contribution plans

Defined contribution plans are post-employment benefit plans under which the Group pays fixed contributions into separate entities or funds and will have no legal or constructive obligation to pay further contributions if any of the funds do not hold sufficient assets to pay an employee benefits relating to employee services in the current and preceding financial years.

Such contributions are recognised as an expense in the profit or loss as incurred. As required by law, the Group make such contributions to the Employees Provident Fund ("EPF") and Social Security Organization ("SOCSO").

2.14 Fair value measurements

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumption that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Group use valuation techniques that are appropriate in the circumstances and for which sufficient date available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.14 Fair value measurements (contd.)

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy based on the lowest level input that is significant to the fair value measurement as a whole.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group determine whether transfers have occurred between levels in the hierarchy by reassessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the financial year end as shown in Note 29 Financial Instruments.

2.15 Income tax

(i) Current tax

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that enacted or substantially enacted by the reporting date.

Current taxes are recognised in profit or loss, except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity.

(ii) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all temporary differences, except:

- where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

- in respect of taxable temporary differences associated with investments in subsidiaries and associates, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.15 Income tax (contd.)

(ii) Deferred tax (contd.)

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

- in respect of deductible temporary differences associated with investments in subsidiaries and associates, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity and deferred tax arising from a business combination is adjusted against goodwill on acquisition.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.16 Related parties

A related party is a person or entity that is related to the Group. A related party transaction is a transfer of resources, services or obligations between the Group and its related party, regardless of whether a price is charged.

(a) A person or a close member of that person's family is related to the Group if that person:-

(i) Has control or joint control over the Company;
(ii) Has significant influence over the Company; or
(iii) Is a member of the key management personnel of the Company.

(b) An entity is related to the Company if any of the following conditions applies:-

(i) The entity and the Company are members of the same entity.
(ii) One entity is an associate or joint venture of the other entity.
(iii) Both entities are joint ventures of the same third party.
(iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
(v) The entity is a post-employment benefit plan for the benefits of employees of either the Company or an entity related to the Company.
(vi) The entity is controlled or jointly-controlled by a person identified in (a) above.
(vii) A person identified in (a)(i) above has significant influence over the entity or is a member of the key management personnel of the entity (or parent of the entity).
(viii) The entity, or any member of reporting entity of which it is a party, provides key management personnel services to the Company or to the parent of the Company.

(c) Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Company either directly or indirectly. The key management personnel include all the directors of the Company and certain members of senior management and chief executive officers of the Company.

Foreign currency

(i) Functional and presentation currency

The individual financial statements is measured using the currency of the primary economic environment in which the entity operates ("the functional currency").

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.17 Foreign currency (contd.)

(ii) Foreign currency transactions

Transactions in foreign currencies are measured in the respective functional currencies of the Group and are recorded on initial recognition in the functional currencies at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items denominated in foreign currencies that are measured at historical cost are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items denominated in foreign currencies measured at fair value are translated using the exchange rates at the date when the fair value was determined.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the reporting date are recognised in profit or loss except for exchange differences arising on monetary items that form part of the Group's net investment in foreign operations, which are recognised initially in other comprehensive income and accumulated under foreign currency translation reserve in equity. The foreign currency translation reserve is reclassified from equity to profit or loss of the Group on disposal of the foreign operation.

Exchange differences arising on the translation of non-monetary items carried at fair value are included in profit or loss for the period except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised directly in equity. Exchange differences arising from such non-monetary items are also recognised directly in equity.

2.18 Borrowing costs

Borrowing costs are capitalised as part of the cost of a qualifying asset if they are directly attributable to the acquisition, construction or production of that asset. Capitalisation of borrowing costs commences when the activities to prepare the asset for its intended use or sale are in progress and the expenditures and borrowing costs are incurred. Borrowing costs are capitalised until the assets are substantially completed for their intended use or sale.

All other borrowing costs are recognised in profit or loss in the period they are incurred. Borrowing costs consist of interest and other costs that the Group incurred in connection with the borrowing of funds.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.19 Leases

The Company assess at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

For a contract that contains a lease component and non-lease components, the Company allocate the consideration in the contract to each lease and non-lease component on the basis of their relative stand alone prices.

As a lessee

The Company apply a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognise lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

(i) Right-of-use assets

The Company recognise right-of-use assets at the commencement date of the lease. Right- of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on straight-line basis over the sho l ier of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

At the commencement date of the lease, the Company recognise lease liabilities measured at the present value of lease payments to be made over the lease term.

The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably ce l iain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate.

2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (CONTD.)

2.19 Leases (contd.)

As a lessee (contd.)

(i) Right-of-use assets (contd.)

Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

(ii) Lease liabilities

In calculating the present value of lease payments, the Company use its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

(iii) Short-term leases and leases of low-value assets

The Company have elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases of low-value assets. The Company recognise the lease payments associated with these leases as an expense over the lease term.

(iv) Extension options

The Company, in applying their judgement, determine the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Company apply judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Company reassess the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

3. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS

Key sources of estimation uncertainty

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Company's accounting policies and reported amounts of assets, liabilities, income and expenses, and disclosures made. Estimates and underlying assumptions are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key assumptions concerning the future and other key source of estimation or uncertainty at the statement of financial position date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are set out below.

(i) Depreciation of property, plant and equipment

The Group estimates the useful lives of property, plant and equipment based on the period over which the assets are expected to be available for use. The estimated useful lives of property, plant and equipment are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the relevant assets. In addition, the estimation of the useful lives of property, plant and equipment are based on the internal technical evaluation and experience with similar assets. It is possible, however, that future results of operations could be materially affected by changes in the estimates brought about by changes in factors mentioned above. The amounts and timings of recorded expenses for any period would be affected by changes in these factors and circumstance. A reduction in the estimated useful lives of the property, plant and equipment would increase the recorded expenses and decrease the non-current assets. The carrying amounts of the Compay's property, plant and equipment at 31 December 2024 are disclosed in Note 5 to the financial statements.

(ii) Impairment of loans and receivables

The Group assesses at each reporting date whether there is any objective evidence that a financial asset is impaired. To determine whether there is objective evidence of impairment, the Group considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments.

Where there is objective evidence of impairment, the amount and timing of future cash flows are estimated based on historical loss experience for assets with similar credit risk characteristics. The carrying amount of the Group's loans and receivables at the reporting date is disclosed in Note 8 to the financial statements.

3. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS (CONTD.)

Key sources of estimation uncertainty (contd.)

(ii) Impairment of loans and receivables (contd.)

The Group assesses whether there are any indicators of impairment on all non-financial assets at each reporting date. Non-financial assets are tested for impairment when indications of potential impairment exist. Indicators of impairment which could trigger an impairment review include evidence of obsolescence or physical damage, significant fall in market values, significant underperformance relative to historical or projected future operating results, significant changes in the use of assets or the strategy of the business, significant adverse industry or economic changes. While the Group believes that the assumptions when determining recoverable amounts are appropriate and reasonable, significant changes in the assumptions may materially affect the assessment of recoverable amounts and may lead to future impairments changes. Any resulting impairment loss could have a material adverse impact on the Group's financial position and results of operations.

(iii) Income taxes

Significant estimation is involved in determining the Group's provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognise liabilities based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the year in which such determination is made.

(iv) Revenue from contracts with customers

The Group applied the following judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers:

Identifying performance obligations

For contracts relating to system application development, the Group is responsible for the overall management of the project and identifies various goods and services to be provided, including project management, procurement of hardware and software, system design, system deployment and testing, system installation and integration. In such contracts, the Group determined that the goods and services are not distinct and generally accounts for them as a single performance obligation.

3. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS (CONTD.)

Key sources of estimation uncertainty (contd.)

(iv) Revenue from contracts with customers (contd.)

Determining the timing of satisfaction of performance obligation

For system application and development revenue and engineering works, the Group is required to assess each of its contracts with customers to determine whether performance obligations are satisfied over time or at a point in time in order to determine the appropriate method for recognising revenue. In making the assessment, the Group considered the terms of the contracts entered into with customers.

For contracts that meet the over time recognition criteria, the Group determined that the input method is the best method in measuring progress of the development because there is direct relationship between the Group's effort (i.e., resources consumed, labour hours expended and costs incurred) and the transfer control of goods and services to the customer.

Consideration of significant financing component in a contract

For contracts involving the system application and development revenue and engineering works recognised over time, customers generally make progress payments as work goes on. Generally, the Group concluded that there is no significant financing component for those contracts as the length of time between when the customers pays for the asset and when the Group transfers the asset to the customer will be one year or less.

Determining method to estimate variable consideration and assessing the constraint

The contracts for the system application and development revenue and engineering works include delay penalties that give rise to variable consideration. Development monitoring is a constant and ongoing process that can identify potentially serious delays in a project. In estimating the variable consideration, the Group is required to use either the expected value method or the most likely amount method based on which method better predicts the amount of consideration to which it will be entitled.

4. PROPERTY, PLANT AND EQUIPMENT

Group/Company	Freehold building RM	Furniture and fittings RM	Motor vehicles RM	Office equipments RM	Vessel and project equipments RM	Renovation RM	Right of use asset RM	Total RM
Cost								
At 1 January 2024	6,500,000	65,525	659,599	1,312,103	250,305,928	5,023,898	130,102	263,997,155
Additions	-	9,415	-	9,104	60,851	-	-	79,370
At 31 December 2024	6,500,000	74,940	659,599	1,321,207	250,366,779	5,023,898	130,102	264,076,525
Accumulated depreciation								
At 1 January 2024	390,000	35,165	659,599	1,092,544	144,102,743	1,954,622	130,102	148,364,775
Charge for the year	130,000	5,809	-	67,129	23,066,297	500,927	-	23,770,162
At 31 December 2024	520,000	40,974	659,599	1,159,673	167,169,040	2,455,549	130,102	172,134,937
Net book value								
At 31 December 2024	5,980,000	33,966	-	161,534	83,197,739	2,568,349	-	91,941,588

* Included the right-of-use assets which details shown in Note 15. The Company has lease agreement for mooring chain rental with contract term of 2 years and the lease agreement do not contain variables lease payments. It under property, plant and equipment following the adoption of MFRS 16.

* Included in property, plant and equipments of the Company is freehold building with net carrying amount of RM6,500,000 (2023: RM6,500,000) pledged as securities for facilities granted to the Company.

4. PROPERTY, PLANT AND EQUIPMENT (CONTD.)

Group/Company	Freehold building RM	Furniture and fittings RM	Motor vehicles RM	Office equipments RM	Vessel and project equipments RM	Renovation RM	Right of use asset RM	Total RM
Cost								
At 1 January 2023	6,500,000	65,525	659,599	1,298,233	250,245,077	5,023,898	10,534,687	274,327,019
Additions	-	-	-	13,870	60,851	-	-	74,721
Disposal	-	-	-	-	-	-	(10,404,585)	(10,404,585)
At 31 December 2023	6,500,000	65,525	659,599	1,312,103	250,305,928	5,023,898	130,102	263,997,155
Accumulated depreciation								
At 1 January 2022	-	25,367	653,233	911,611	94,506,528	1,099,555	1,864,199	99,060,493
Effect from prior year adjustment	260,000	-	-	-	-	-	-	260,000
Charge for the year	-	4,068	6,366	89,496	24,894,568	354,141	6,936,390	32,285,029
At 31 December 2022/ 1 January 2023	260,000	29,435	659,599	1,001,107	119,401,096	1,453,696	8,800,589	131,605,522
Effect from prior year adjustment	130,000	-	-	-	-	-	-	130,000
Charge for the year		5,730	-	91,437	24,701,647	500,926	578,032	25,877,772
Disposal	-	-	-	-	-	-	(9,248,519)	(9,248,519)
At 31 December 2023	390,000	35,165	659,599	1,092,544	144,102,743	1,954,622	130,102	148,364,775

4. PROPERTY, PLANT AND EQUIPMENT (CONTD.)

Net book value								
At 31 December 2022	6,240,000	36,090	-	297,126	130,843,981	3,570,202	1,734,098	142,721,497
At 31 December 2023	6,110,000	30,360	-	219,559	106,203,185	3,069,276	-	115,632,380

* Included the right-of-use assets which details shown in Note 15. The Company has lease agreement for mooring chain rental with contract term of 2 years and the lease agreement do not contain variables lease payments. It under property, plant and equipment following the adoption of MFRS 16.

* Included in property, plant and equipments of the Company is freehold building with net carrying amount of RM6,500,000 (2023: RM6,500,000) pledged as securities for facilities granted to the Company.

5. INVESTMENT IN SUBSIDIARIES

	Company	
	2024	2023
	RM	RM
Shares in unquoted corporations, at cost	10	10

The subsidiaries, which were incorporated in Malaysia, are as follows:

Name	Principal Activities	Effective equity interest	
		2024	2023
MTC Energy Sdn. Bhd.*	Mining of hydrocarbon liquids, obtain through liquiefaction or pyrolysis. The Company has not commenced business since its incorporation date.	100%	100%
MTC International Venture P.L.C. #	Dormant	100%	100%
MTC Floating Asset (L) P.L.C. #	Dormant	100%	100%

* Audited by firm other than Al Jafree Salihin Kuzaimi PLT.

\# These subsidiaries were incorporated on 2 and 3 November 2022 respectively with a share capital of RM4 for each company. No statutory audit were required as at the reporting date as the subsidiaries were newly incorporated and they remained dormant during the financial year. The Company has consolidated the results of the subsidiaries based on the unaudited financial statements.

6. INVESTMENT

	Group/Company	
	2024	2023
	RM	RM
At 1 January	16,000	8,500
Fair value gain for the year	-	7,500
Less: Loss on investment	(1,000)	-
At 31 December	15,000	16,000

6. INVESTMENT (CONTD.)

	Group/Company	
	2024	2023
	RM	RM
The equity investment comprise:		
(a) Ordinary shares quoted in Malaysia	15,000	16,000

The fair value of quoted equity investment are measured based on the year end quoted prices in active markets.

7. TRADE AND OTHER RECEIVABLES

	Group		Company	
	2024	2023	2024	2023
	RM	RM	RM	RM
Trade receivables	9,228,508	6,760,813	9,228,508	6,760,813
Less: Allowances for expected credit losses	-	(123,199)	-	(123,199)
Less: Amount written off	-	(801,800)	-	(801,800)
	9,228,508	5,835,814	9,228,508	5,835,814
Other receivables	36,881	36,881	36,881	36,881
Less: Allowances for expected credit losses	(13,581)	(13,581)	(13,581)	(13,581)
	23,300	23,300	23,300	23,300
Amount due from related parties	-	319,110	-	319,110
Less: Amount written off	-	(27,176)	-	(27,176)
	-	291,934	-	291,934
Amount due from subsidiaries	-	-	90,355	89,005
	9,251,808	6,151,048	9,342,163	6,240,053

(a) Amount due from related parties and subsidiaries are unsecured, interest free and repayable on demand. All short term receivables, including related party receivables, are measured at undiscounted amounts because the effect of discounting is immaterial.

7. TRADE AND OTHER RECEIVABLES (CONTD.)

(b) The ageing analysis of trade receivables of the Company are as follows:

	Group/Company	
	2024	**2023**
	RM	**RM**
Neither past due nor impaired	2,191,000	2,720,392
Past due not impaired		
1 to 30 days	1,712,843	2,613,057
31 to 60 days	2,300,338	135,336
61 to 90 days	2,099,098	73,316
More than 90 days	925,229	416,912
	7,037,508	3,238,621
Past due and impaired	-	(123,199)
	9,228,508	5,835,814

Receivables that are neither past due not impaired

Trade receivables that are neither past due nor impaired are due from creditworthy customers with good payment records with the Company. None of the Company's trade receivables that are neither past due nor impaired have been renegotiated during the financial year.

Receivables that are past due but not impaired

The Company has trade receivables amounting to RM7,037,508 (2023: RM3,238,621) that are past due at the reporting date but not impaired. Based on historical information about customer default rates, management considers the credit quality of trade receivables that are past due but not impaired to be good. These receivables are unsecured.

Receivables that are impaired

Trade receivables individually identified as impaired at the reporting date are customers with significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral or credit enhancements.

Reversal of expected credit losses on receivables are made when there are subsequent collections from the trade receivables which are in financial difficulties.

7. TRADE AND OTHER RECEIVABLES (CONTD.)

(c) Allowance for expected credit losses

The movement in the allowance for expected credit losses in respect of trade and other receivables during the financial year were as follows:

	Group/Company	
	2024	**2023**
	RM	**RM**
Trade receivables		
Brought forward	123,199	801,800
Charge for the year	-	123,199
Reversal	(123,199)	
Amount written off	-	(801,800)
Carried forward	-	123,199
Other receivables		
Brought forward	13,581	13,581
Charge for the year	-	-
Carried forward	13,581	13,581

(d) Information on financial risk of trade receivables is disclosed in Note 28 to the financial statements.

8. CONTRACT ASSET

	Group/Company	
	2024	**2023**
	RM	**RM**
Contract cost incurred to date	1,695,450	6,957,986
Add: Attributable profits	-	922,014
	1,695,450	7,880,000
Less: Progress billing	(1,174,525)	(6,184,550)
	520,925	1,695,450

9. DEPOSITS AND PREPAYMENTS

	Group/Company	
	2024	**2023**
	RM	**RM**
Deposits	3,797,476	2,458,728
Prepayments	74,906	86,793
	3,872,382	2,545,521

10. CASH AND BANK BALANCES

	Group		Company	
	2024 RM	2023 RM	2024 RM	2023 RM
Cash in hand	29	29	28	28
Cash at bank	3,635,655	4,079,756	3,630,535	4,074,636
	3,635,684	4,079,785	3,630,563	4,074,664
Less: Bank overdraft	(915,315)	(980,656)	(915,315)	(980,656)
	2,720,369	3,099,129	2,715,248	3,094,008

The Company's cash management policy is to use cash and bank balances and short-term trade financings to manage cash flows to ensure sufficient liquidity to meet Company's obligations.

11. SHARE CAPITAL

	Group and Company			
	Number of Ordinary Shares		Amount	
	2024 Units	2023 Units	2024 RM	2023 RM
Issued and fully paid:				
At beginning/end of year	14,700,000	14,700,000	14,700,000	14,700,000

The holders of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions and rank equally with regard to the Company's residual assets.

12. RETAINED EARNINGS

The retained earnings of the Company are available for distribution by way cash dividends or dividends in specie. Under the single-tier system of taxation, dividends payable to shareholders are deemed net of income taxes. There are no potential income tax consequences that would result from the payment of dividends to shareholders.

13. TRADE AND OTHER PAYABLES

	Group		Company	
	2024 RM	2023 RM	2024 RM	2023 RM
Non-current				
Trade payables	8,682,294	13,069,721	8,682,294	13,069,721
Other payables	-	1,421,337	-	1,421,337
	8,682,294	14,491,058	8,682,294	14,491,058
Current				
Trade payables	4,665,794	7,091,518	4,665,794	7,091,518
Other payables and accruals	5,815,270	3,109,229	5,791,161	3,109,229
Amount due to related companies	-	409,083	-	407,423
Amount due to subsidiaries	-	-	9	9
Good and services tax payables	51,663	1,576,952	51,663	1,576,952
	10,532,727	12,186,782	10,508,627	12,185,131

Trade and other payables are non-interest bearing and the normal trade credit terms vary from 30 days to 90 days (2023: 30 days to 90 days) from the invoice date.

Other payables has been acquired by the Group and the Company based in Puchong, Selangor, to part finance its working capital during the year. The other payables is unsecured and the interest rate is ranging between 12.00% to 18.00% per annum

Amount due to related companies and subsidiaries are unsecured, interest-free and repayable on demand.

14. BORROWINGS

	Group/Company		
	2024 RM	2023 RM Restated	2022 RM Restated
Non-current			
Secured:			
Term loan	27,348,422	19,022,237	50,528,140
	27,348,422	19,022,237	50,528,140
Current			
Secured:			
Hire purchase	12,403	56,177	48,327
Bank overdraft - secured	915,315	980,656	-
Term loan	5,283,332	27,755,226	13,243,920
	6,211,050	28,792,059	13,292,247
	33,559,472	47,814,296	63,820,387

14. BORROWINGS (CONTD.)

The weighted average effective profit rates per annum for the borrowings of the Group and of the Company are as follows:

	2024	2023
	%	%
Hire purchase	2.54	2.54
Overdraft	2.00	2.00
Term loan	4.00	4.00

The borrowings of the Group and of the Company are secured by way of the followings :

(a) Letter of offer;
(b) Master facility agreement;
(c) Asset Sale Agreement for RM17,909,047.42 over Shariah compliant commodities determined by the Bank as per the e-certificate or such other evidence or ownership of ownership maintained by the Bank for this facility;
(d) First party registered charge over three storey commercial office building at Blok, Cafeteria, MKN Embassy, Techzone, Lot PT 12050, Jalan Teknokrat 2, 63000 Cyberjaya, Selangor;
(e) Joint and Several Guarantee for RM7,650,000 to be executed by Mohd Fauzi Bin Yaakob and Norshah Hafeez Bin Shuaib;
(f) Deed of assignment to be executed between the Customer and Financier over the contract proceeds to be received from Vestigo Petroleum Sdn. Bhd. (1044120-D) ("Contract Awarder") in relation to the Letter of Contract Amendment and Extension dated 10 May 2021 between the Customer and the Contract Awarder in respect of the contract known as Provision of Leased Floating Production, Storage And Offloading (FPSO) Facility For Ophir Production Sdn. Bhd. and Supplementary Agreement No.2 to this Contract dated 1 March 2019 ("The Contract");
(g) Irrevocable Letter of Notification or Letter of Instruction or Notice of Assignment or Consent of Assignment from Customer to Contract Awarder;
(h) Mortgage and Deed of Covenant created over the vessel for the Floating Production Storage Offloading;
(i) Deed of Assignment over the Revenue Collection Account;
(j) Memorandum of Deposit in relation to the Sinking Fund Account with BIMB with any profit earned from the Sinking Fund Account to be capitalised throughout the Financing Tenure;
(k) Letter of Set Off in relation to the Sinking Fund Account with BIMB with any profit earned from the Sinking Fund Account to be capitalised throughout the Financing Tenure;
(l) Debenture creating fixed and floating charge over all of the Customer's present and future assets, rights, interest and/or undertaking in favour of the Financier;
(m) An irrecovable Joint and Several Guarantee by the Guarantor(s), Mohd Fauzi bin Ya'akob and Norshah Hafeez bin Shuaib;
(n) Letter of Undertaking from the Guarantors to Financier to service the monthly installment; and
(o) Letter of Undertaking from Customers to the Financier.

15. LEASE LIABILITIES

As lessee

The carrying amount and the movement of lease liabilities for the year ended 31 December 2024 is as follows:

	Group/Company	
	2024	**2023**
	RM	**RM**
At 1 January	-	3,043,162
Payments	-	(529,503)
Disposal	-	(2,513,659)
At 31 December	-	-
Analysed as:		
Current	-	-
Non-current lease liabilities	-	-
	-	-

The following are the amounts recognised in profit and loss:

	Group/Company	
	2024	**2023**
	RM	**RM**
Depreciation expense of right of use assets	-	578,032

16. DEFERRED TAX LIABILITIES

	Group/Company	
	2024	**2023**
	RM	**RM**
Taxable temperorary differences of:		
- Property, plant and equipment	31,200	-
At 1 January	-	1,607,832
Recognised in the statement of comprehensive income (Note 23)	31,200	(1,607,832)
At 31 December	31,200	-

17. REVENUE

Revenue represents the invoiced value of sale and services rendered less discount and return.

	Group/Company	
	2024	**2023**
	RM	**RM**
Rendering of services	39,288,422	45,897,410
Timing of revenue recognition		
At a point of time	39,288,422	38,017,410
Over time	-	7,880,000
	39,288,422	45,897,410

18. COST OF SALES

	Group/Company	
	2024	**2023**
	RM	**RM**
Project cost	4,929,501	12,243,956
Expenses related to rendering of rental services :		
- Depreciation of right of use asset	-	578,032
Staff cost	4,218,157	2,109,987
	9,147,658	14,931,975

19. OTHER OPERATING INCOME

	Group		Company	
	2024	**2023**	**2024**	**2023**
	RM	**RM**	**RM**	**RM**
Gain on disposal of right of use asset	-	1,357,593	-	1,357,593
Other income	30,292	26,681	30,292	25,848
Reversal of payables	1,833,838	57,265	1,833,838	57,265
Reversal of allowance for expected credit losses	123,199	-	123,199	-
Rebate	931,849	509,017	931,849	509,017
Unrealised gain on foreign exchange	16,322	43,462	16,322	43,462
	2,935,500	1,994,018	2,935,500	1,993,185

20. STAFF COST

	Group/Company	
	2024	**2023**
	RM	**RM**
Wages and salaries	1,193,611	1,307,437
Defined contributions plans and social security contributions	34,223	160,846
Other benefits	532,830	691,428
	1,760,664	2,159,711

21. FINANCE COSTS

	Group/Company	
	2024	**2023**
	RM	**RM**
		Restated
Expense on:		
Bank overdraft interest	101,595	31,032
Finance lease interest	-	2,000
Term loan interest	1,872,063	5,993,597
	1,973,658	6,026,629

22. PROFIT BEFORE TAX

Profit before tax has been determined after charging/(crediting) amongst other items, the followings:-

	Group		Company	
	2024	**2023**	**2024**	**2023**
	RM	**RM**	**RM**	**RM**
Auditors' remunerations	75,600	75,000	75,000	75,000
Allowance for expected credit losses	-	123,199	-	123,199
Bad debt written off	456,562	27,176	456,562	27,176
Bank overdraft interest	101,595	31,032	101,595	31,032
Depreciation of property, plant and equipment	23,770,162	25,299,740	23,770,162	25,299,740
Depreciation of right-of-use asset	-	578,032	-	578,032
Gain on disposal of right-of-use asset	-	(1,357,593)	-	(1,357,593)
Staff cost (Note 20)	1,760,664	2,159,711	1,760,664	2,159,711
Fair value gain on quoted investment	-	(7,500)	-	(7,500)
Finance costs	1,973,658	1,237,101	1,973,658	1,237,101

22. PROFIT BEFORE TAX (CONTD.)

Profit before tax has been determined after charging/(crediting) amongst other items, the followings (contd.):-

	Group		Company	
	2024 RM	2023 RM	2024 RM	2023 RM
Reversal of payables	1,833,838	(57,265)	1,833,838	(57,265)
Rental expenses	113,125	164,662	113,125	164,662

23. TAXATION

	Group		Company	
	2024 RM	2023 RM	2024 RM	2023 RM
Income tax expense				
- Current year	-	-	-	-
- Over provision in prior year	-	-	-	-
Deferred tax				
- Current year	11,039,297	10,036,734	11,039,297	10,036,734
- Over provision in prior year	(11,008,097)	(11,644,566)	(11,008,097)	(11,644,566)
	31,200	(1,607,832)	31,200	(1,607,832)

The significant differences between the tax expense and accounting profit multiplied by statutory tax rate are due to the tax affects arising from the following items:

	Group		Company	
	2024 RM	2023 RM	2024 RM	2023 RM
Profit/(Loss) before tax	1,355,950	(4,513,834)	1,379,749	(4,463,297)
Tax at Malaysian statutory tax rate of 24% (2023: 24%)	325,428	66,167	331,140	(1,071,191)
Tax effects in respect of:-				
Expenses not deductible for tax purposes	728,457	728,361	722,745	716,233
Deferred tax asset not recognised	9,985,412	9,242,206	9,985,412	9,242,206
Overprovision of deferred tax in prior year	(11,008,097)	(11,644,566)	(11,008,097)	(10,495,080)
Effective tax expenses	31,200	(1,607,832)	31,200	(1,607,832)

23. TAXATION (CONTD.)

The Company has obtained tax exemption under Section 54A of the Income Tax Act, 1967.

The Ministry of Finance had approved the extension of the exemption period to the Income Tax (Exemption) (No.2) 2019 (P.U (A) 48/2018) order for shipping companies by 100% for a period of three (3) years until the year of assessment 2023.

Deferred tax assets of the Group and of the Company have not been recognised in respect of the following items:

	Group/Company	
	2024	**2023**
	RM	**RM**
Unutilised business loss	92,549,340	39,263,179

24. RELATED PARTY DISCLOSURES

24.1 Control Relationship

The controlling shareholders of the Company is Mohd Fauzi bin Ya'akob.

24.2 Key Management Personnel Compensation

There are no transactions with key management personnel and directors during the financial year.

24.3 Related Party Transactions

Services Provided

Group	**Amount of Transaction RM**	**Balance Outstanding At Year End RM**	**Term of Settlement**
Year Ended 31 December 2024			
Amount due from related parties	(291,934)	-	Unsecured interest free cash term and repayable on demand
Amount due to related parties	(409,083)	-	

24. RELATED PARTY DISCLOSURES

24.3 Related Party Transactions (contd.)

Services Provided (contd.)

Group	Amount of Transaction RM	Balance Outstanding At Year End RM	Term of Settlement
Year Ended 31 December 2023			
Amount due from related parties	204,033	291,934	Unsecured interest free cash term and repayable on demand
Amount due to related parties	(85,772)	409,083	
Company			
Year Ended 31 December 2024			
Amount due from related parties	(291,934)	-	Unsecured interest free cash term and repayable on demand
Amount due from subsidiaries	1,350	90,355	
Amount due to related parties	(407,423)	-	
Amount due to subsidiaries	-	9	
Year Ended 31 December 2023			
Amount due from related parties	204,033	291,934	Unsecured interest free cash term and repayable on demand
Amount due from subsidiaries	55,197	89,005	
Amount due to related parties	(87,432)	407,423	
Amount due to subsidiaries	-	9	

25. CONTINGENT LIABILITIES

In 2018, the Company received a claim from third party, Tresenergy Sdn. Bhd. due to cost of damages to the director, Mohd Fauzi bin Ya'akob and MTC Engineering Sdn. Bhd. This is a claim by the Tresenergy Sdn. Bhd. against MTC Engineering Sdn. Bhd. purportedly for lossess suffered by Tresenergy in respect of the termination of the FSPO project by Ophir Production Sdn. Bhd. (OPSB)

On 16 August 2022, the Company has came up for case management. The learned High Court Judge has allowed the Company application to strike out the Tresenergy Sdn. Bhd. (the Plaintiff) assessment of damages proceeding with no order as to costs. In view of the Court's decision, there are no pending applications by the Plaintiff as of now.

26. CONTINGENT ASSET

MTC Engineering Sdn. Bhd. claimed and against PETRON Malaysia Refining & Marketing Bhd. for the PLEM Fabrication and Marine Equipment Installation for the Marine Import Facilities 2 Project. A Notice of Demand was served to Petron on 29 November 2021. The Notice of Arbitration was served to Petron on 20 May 2022. The arbitral proceedings are currently ongoing. Oral clarification and submission were held on 13 June 2025, and both parties are scheduled to file their written clarifications on 14 July 2025.

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The financial risk management is integral to the development of the Group's and of the Company's business. The Group and the Company has in place the financial risk management policies to manage its exposure to a variety of risks to an acceptable level. The Group's and the Company's principal financial risk management policies are as follows:

(a) Credit risk

Cash and bank balances are placed with reputable financial institutions based on rating agencies' ratings. The Group and the Company placed funds in respect of other financial assets by reference to the investment evaluation procedures to ensure that the credit risk is kept at minimum level.

Therefore, credit risk arises mainly from the inability of its customers to make payments when due. Trade receivables presented in the statement of financial position are net of allowances for impairment losses, estimated by management based on prior experience and the current economic environment.

The carrying amounts of the financial assets recorded on the statement of financial position at the reporting date represent the Group's and the Company's maximum exposure to credit risk in relation to financial assets. No financial assets carry a significant exposure to credit risk other than those disclosed in the notes.

The Group and the Company do not hold any collateral and thus, the credit exposure is continuously monitored by the directors.

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTD.)

(b) Liquidity risk

The Group's and the Company's funding requirements and liquidity risk are managed with the objective of meeting business obligations on a timely basis. The Group and the Company monitors its cash flows and ensures that sufficient funding is in place to meet the obligations as and when they fall due.

The following table analyses the remaining contractual maturity for non-derivative financial liabilities. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group and the Company can be required to pay. The weighted average effective interest rates of these non-derivative financial liabilities are disclosed in the respective notes.

	One demand or within one year RM	One to five years RM	Total RM
Group			
2024			
Financial liabilities			
Trade and other payables	10,532,727	8,682,294	19,215,021
Hire purchase	12,403	-	12,403
Bank overdraft - secured	915,315	-	915,315
Term loan	5,283,332	27,348,422	32,631,754
	16,743,777	36,030,716	52,774,493
2023 (Restated)			
Financial liabilities			
Trade and other payables	12,186,782	14,491,058	26,677,840
Hire purchase	56,177	-	56,177
Bank overdraft - secured	980,656	-	980,656
Term loan	27,755,226	19,022,237	46,777,463
	40,978,841	33,513,295	74,492,136

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTD)

(b) Liquidity risk (contd.)

	One demand or within one year RM	One to five years RM	Total RM
Company			
2024			
Financial liabilities			
Trade and other payables	10,508,627	8,682,294	19,190,921
Hire purchase	12,403	-	12,403
Bank overdraft - secured	915,315	-	915,315
Term loan	5,283,332	27,348,422	32,631,754
	16,719,677	36,030,716	52,750,393
2023 (Restated)			
Financial liabilities			
Trade and other payables	12,185,131	14,491,058	26,676,189
Hire purchase	56,177	-	56,177
Bank overdraft - secured	980,656	-	980,656
Term loan	27,755,226	19,022,237	46,777,463
	40,977,190	33,513,295	74,490,485

At the reporting date, it is not probable that the counterparties to the financial guarantee contracts will claim under the contracts. Thus, the amount is Nil for the Group and the Company. The maximum exposure for the financial guarantee is the full guaranteed amount claimable by the counterparties to the guarantees.

(c) Interest rate risk

Interest rate risk arises when the future cash flows or fair value will fluctuate due to the changes in interest rates related to financial assets and financial liabilities with floating interest rates.

The Group's and the Company's financial instruments that are exposed to interest rate risk and the applicable weighted average effective interest rates are disclosed in the respective notes.

The Group and the Company manage the exposure to interest rate by matching a prudent mix of fixed and floating rate borrowings.

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTD)

(d) Currency risk

The Group's and the Company's financial instruments that are exposed to currency risk and the extent of the exposures to currency risk are disclosed in the respective notes.

The Group and the Company ensures that the net exposure to foreign currency risk is kept to an acceptable level.

28. FINANCIAL INSTRUMENTS

(a) Classification of financial instruments

The following table analyses the financial assets and liabilities in the statements of financial position by the class of financial instruments to which they are assigned and therefore by the measurement basis:

Group	Carrying amount RM	Amortised cost RM
2024		
Financial assets		
Trade and other receivables	9,251,808	9,251,808
Cash and bank balances	3,635,684	3,635,684
Deposits	-	-
	12,887,492	12,887,492
Financial liabilities		
Trade payables	13,348,088	13,348,088
Other payables	5,815,270	5,815,270
	19,163,358	19,163,358
2023		
Financial assets		
Trade and other receivables	6,151,048	6,151,048
Cash and bank balances	3,099,129	3,099,129
Deposits	2,458,728	2,458,728
	11,708,905	11,708,905
Financial liabilities		
Trade payables	20,161,239	20,161,239
Other payables	4,530,566	4,530,566
	24,691,805	24,691,805

28. FINANCIAL INSTRUMENTS (CONTD.)

(a) Classification of financial instruments (contd.)

Company	Carrying amount RM	Amortised Cost RM
2024		
Financial assets		
Trade and other receivables	9,342,163	9,342,163
Cash and bank balances	3,630,563	3,630,563
Deposits	3,797,476	3,797,476
	16,770,202	16,770,202
Financial liabilities		
Trade payables	13,348,088	13,348,088
Other payables	5,791,161	5,791,161
	19,139,249	19,139,249
2023		
Financial assets		
Trade and other receivables	6,240,053	6,240,053
Cash and bank balances	3,094,008	3,094,008
Deposits	2,458,728	2,458,728
	11,792,789	11,792,789
Financial liabilities		
Trade payables	20,161,239	20,161,239
Other payables	4,530,566	4,530,566
	24,691,805	24,691,805

(b) Fair value of financial instruments

The carrying amounts of short-term receivables and payables, cash and cash equivalents and short-term loans and borrowings approximate their fair value due to the relatively short-term nature of these financial instruments and/or insignificant impact of discounting.

The carrying amount of long-term floating rate loans and borrowings approximately their fair value as the loans and borrowings will be re-paid to market interest rate on or near reporting date.

It was not practicable to estimate the fair value of investment in unquoted equity due to the lack of comparable quoted prices in an active market and the fair value cannot be reliably measured.

28. FINANCIAL INSTRUMENTS (CONTD.)

(b) Fair value of financial instruments (contd.)

The table below analyses financial instruments not carried at fair value for which fair value is disclosed, together with their fair values and carrying amounts shown in the statements of financial position.

	Fair value of financial instruments not carried at fair value			Carrying amount
	Level 1	Level 2	Level 3	
Group/Company	**RM**	**RM**	**RM**	**RM**
2024				
Financial liabilities				
Hire purchase	-	-	12,403	12,403
Term loan	-	-	32,631,754	32,631,754
2023 (Restated)				
Financial liabilities				
Hire purchase	-	-	56,177	56,177
Term loan	-	-	46,777,463	46,777,463

(i) Policy on transfer between levels

The fair value of an asset to be transferred between levels is determined as of the date of the event or change in circumstances that caused the transfer.

There were no transfers between levels during current and previous financial years.

(ii) Level 1 fair value

Level 1 fair value is derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

(iii) Level 2 fair value

Level 2 fair value is estimated using inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Non-derivative financial instruments
Fair value, which is determined for disclosure purposes, is calculated based on the present value of future principal and interest cash flows, discounted at the market rate of interest at the end of the reporting period.

28. FINANCIAL INSTRUMENTS (CONTD.)

(b) Fair value of financial instruments (contd.)

(iv) Level 3 fair value

Level 3 fair value for the financial assets and liabilities are estimated using unobservable inputs.

29. PRIOR YEAR ADJUSTMENT

During the year, the adjustments presented below were made retrospectively relating to the recognition depreciation and the balance of property, plant and equipment from the previous financial years.

	As previously stated RM	Adjustments RM	As restated RM
GROUP/COMPANY - 31 December 2023			
Consolidated statement of profit or loss and other comprehensive income			
Depreciation expenses	25,877,772	130,000	26,007,772
Finance cost	1,237,101	4,789,528	6,026,629
Consolidated statement of financial position			
Non-current assets			
Property, plant and equipment	116,022,380	(390,000)	115,632,380
Non-current liability			
Term loan	13,511,990	5,510,247	19,022,237
GROUP/COMPANY - 31 December 2022			
Consolidated statement of profit or loss and other comprehensive income			
Depreciation expenses	32,285,029	260,000	32,545,029
Finance cost	4,852,815	720,719	5,573,534

29. PRIOR YEAR ADJUSTMENT (CONTD.)

GROUP/COMPANY - 31 December 2022

Consolidated statement of financial position

Non-current assets			
Property, plant and equipment	142,851,497	(130,000)	142,721,497
Non-current liability			
Term loan	49,807,421	720,719	50,528,140

30. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder value.

The Company manages its capital structure and makes adjustments to it in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new share capital. No changes were made in the objectives, policies or processes during the financial year ended.

31. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the year ended 31 December 2024 were authorised for issue in accordance with a resolution of the directors on 04 AUG 2025

Registration No: 200901000854 (843778-T)

MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	2024 RM	Restated 2023 RM
Revenue:		
Sales	-	2,000
2H Offshore (Asia Pacific)	-	64,860
AANS Marine	1,681,680	472,800
Ethik Group	1,449,000	-
FGV CA	-	1,695,450
FGV Palm Industry (Bukit Sagu)	-	2,201,775
FGV Palm Industry (Tenggroh Timur)	-	1,978,591
FGV Palm Industry (Chalok)	-	2,004,183
HEXA Sepakat	3,192,365	-
Kementerian Pertahanan	18,125	-
MARDI	-	49,550
MTC EC Sdn Bhd	(1,190,000)	1,190,000
MTC OREC	383,037	3,510,853
MTU Services (M) Sdn Bhd	-	125,660
OREC Engineering Sdn Bhd	-	1,032,525
Orcatrans Sdn Bhd	-	7,449
PG Timur	300,000	-
Scientige Sdn Bhd	-	18,000
Starke Marine Sdn Bhd	161,000	115,000
VESTIGO	33,293,215	31,430,948
Sapura Offshore Sdn Bhd	-	-
Underwater Technology Services	-	-
Discount Allowed	-	(2,234)
	39,288,422	45,897,410

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MTC ENGINEERING SDN. BHD.
(Incorporated in Malaysia)

DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTD.)

	2024 RM	Restated 2023 RM
Less: Cost of Sales		
Project Cost - MTC Defend	-	(2,000)
PC Ledang-Insurance	(836,067)	(852,416)
PC Ledang-Equipments/Other Cost	(177,965)	(33,279)
PC - Legal Cost (Project)	(1,003,114)	-
PC-Rental Equipments	-	(600)
PC-Storage/Warehouse	-	(29,120)
P.Cost-Survey/Manpower	(73,920)	-
PC-Sandakan Offshore (SOM)	-	(175,293)
SC-Transportation/Accomodation/Travelling	(196,324)	(20,193)
PC-Transport/Courier Cost	(250)	(5,351)
PC-Communication/Internet	-	(475,552)
PC - Uniform/Coverall (Project)	(1,750)	-
Staff Cost - EPF	(159,844)	(147,904)
SC - MTC EC	(1,923,174)	-
SC - Medical (Project/Offshore)	(4,375)	-
Staff Cost - Allowance (Monthly)	(328,272)	(301,450)
Staff Cost - Salary Contract/PO	(183,881)	(253,765)
Staff Cost - Socso	(13,648)	(29,579)
Staff Cost - Project Allowance	(170,250)	(85,282)
Staff Cost - Salary	(1,410,236)	(1,291,607)
Staff Cost - Stayback/Weekend/Meal	(9,306)	(400)
SC - Training (Project)	(15,171)	-
BENTARA - Equipment/Miscellaneous/Other	-	(1,290,663)
BENTARA - Vessel (Rental / Others Cost)	-	(635,171)
BENTARA - Other Rental	-	(1,800)
BENTARA - Staff Salary/Allowance	-	(157,277)
Project Cost- FGV ESP	(50,000)	-
FGV ESP - Equipment/Other Cost	(2,003,238)	(7,967,757)
FGV ESP - Tranportation/Accomodation	(19,420)	(145,105)
FGV ESP - Payroll	(76,473)	(55,896)
PROJECT - MARDI	-	(40,000)
JITANG- Equipment/Tools/Other Costs	(358,856)	(42,097)
JITANG-Manpower	-	(30,667)
JITANG-Rental	-	(25,881)
PETRON-Fabrication	-	(257,837)
PETRON-Other Costs	(91,201)	-
Project Cost - Forel Allowance	(40,923)	-
Depreciation of ROU	-	(578,032)
	(9,147,658)	(14,931,975)
Gross (loss)/profit	30,140,764	30,965,435

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DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTD.)

	2024 RM	Restated 2023 RM
Add: Other income		
Other Income	9,815	25,848
Unrealized Gain on Foreign Exchange	16,322	43,462
Rebate/Discount/Credit Note	931,849	135,068
Gain on Disposal of Right of Use Asset	-	1,357,593
Write off Payables - Creditors	1,833,838	431,214
Reversal of Allowance for ECL	123,199	-
Gain from Legal Case	20,477	-
	2,935,500	1,993,185
Less: Staff costs		
Admin Cost- Allowance (Monthly)	(532,830)	(636,936)
Admin Cost- KWSP	(35,722)	(160,846)
Admin Cost- Salary	(1,193,611)	(1,307,437)
Admin Cost- LHDN	(1,186)	-
Admin Cost- Zakat	2,684	-
AC MTC FS - Car Allowance	-	(54,492)
	(1,760,664)	(2,159,711)
Less: Administrative expenses		
Courier/Transport Charges	(1,176)	(1,407)
Cukai Tanah/Taksiran	(17,075)	(17,075)
Office-Maintenance/Cleaning	(308,500)	(339,840)
Petrol,Tol & Parking	(49,810)	(55,763)
Levi	(30,727)	(63,035)
Rental-Photocopy Machine (ORIX)	(5,508)	(5,049)
Registration\Renewal Fee\License	(12,339)	(16,466)
Rental-Machine (KONICA)	(17,727)	(20,996)
Rental - Storage \ Shop	(59,530)	(49,840)
Rental-Vads/Satellite TV	(30,360)	(30,360)
Sponsorship/Scholarship	(159,779)	(128,673)
Admin Cost-Staff Welfare	(33,000)	(50,453)
Balance c/f	(725,530)	(778,957)

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DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTD.)

	2024 RM	Restated 2023 RM
Less: Administrative expenses (Contd.)		
Balance b/f	(725,530)	(778,957)
Staff - Car Allowance	(24,000)	(103,934)
Staff Cost - EPF	(148,473)	-
Staff Cost - SOCSO	(12,631)	(14,598)
Admin Cost-Medical	(5,676)	(5,041)
Stamp Duty	(40)	(56,399)
Staff Refreshment/Miscellaneous Expenses	(23,056)	(27,020)
Subscription Fee \ ISO 9001 Fee	(2,060)	(1,457)
Admin Cost - Meal Allowance/Project Alowance	(1,882)	(7,678)
Stationary	(2,011)	(7,862)
Training Cost\ Seminar \ Workshop	(4,500)	(16,339)
Telephone & Internet	(32,794)	(36,049)
Trainee Allowance	(102,106)	(61,906)
Travel & Accomodation	(9,952)	(48,076)
Public Transport/Taxi/Train	(770)	(2,010)
Traveling\Milage\Air TICKET	(7,426)	(41,709)
Upkeep Motor Vehicle	(110,103)	(27,042)
Upkeep Of Computer & Software	(75,142)	(29,758)
Uniform/Safety Shoes	(1,600)	(10,057)
Upkeep Of Office Equipment	(5,818)	(12,101)
Overtime	-	(2,000)
Rental - Motor Vehicle	-	(58,417)
MTCE-Open House/Family Day	-	(78,408)
Work Permit/Visa	-	(908)
Depreciation - Project Equipment	(52,665)	(637,123)
Depreciation - Furniture Aand Fitting	(5,809)	(5,730)
Depreciation - Office Equipment	(7,549)	(10,691)
Depreciation - Computer/Software	(59,581)	(80,748)
Depreciation - Renovation	(500,927)	(500,927)
Depreciation - Vessel MTC Ledang	(267,163)	(1,318,056)
Depreciation - MTC Ledang Equipments/Others	(22,746,468)	(22,746,468)
Depreciation - Office Building	(130,000)	(130,000)
Audit Fee	(88,560)	(75,000)
Legal Fee	(39,366)	(400,583)
Other Professional Fee	(49,779)	(23,608)
Balance c/f	(25,243,440)	(27,356,657)

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DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTD.)

	2024 RM	Restated 2023 RM
Less: Administrative expenses (Contd.)		
Balance b/f	(25,243,440)	(27,356,657)
Secretarial Fee	(7,520)	(5,249)
Tax Agent Fees	-	(3,300)
Director Allowance - Project/Travel/Accomodation	(83,539)	(137,500)
Consultation Fee/Cost	(975,497)	(880,270)
Entertainment	(29,371)	(11,644)
Gift & Donation	(18,499)	(52,348)
Insurance - Cyberjaya Office	(9,093)	(13,401)
Insurance- Medical / Life	(279,923)	(359,700)
Penalty\Denda\Faedah	(9,180)	(15,197)
LHDN Installment/Corporate Tax/IRAS	(678,897)	-
Tender/Agent/Other Fees	(1,776)	-
Yayasan Nur Ramlah	(128,000)	-
Utility - TM	(18,143)	(71,492)
Utility- TNB	(50,456)	(48,079)
Utility- TM Vads	(5,027)	-
Utility-Indah Water	(9,405)	(1,980)
Write Off Receivable-MTC DEFENCE	(174,891)	-
Write Off Receiveable - Debtor	(30,024)	-
Write Off Receivable - MTC Anjung Kecil	(14,282)	-
Write Off Receivable - MTC FS @ EC	(6,663)	-
Write Off Receiveable- MTC	(200,852)	(123,199)
Write Off Receivable-Semarang Villa	(550)	(27,176)
MKN Embassy Techzone - Electricity	(12,221)	(11,005)
MKN Embassy Techzone - Water	(1,563)	-
MKN Embassy Techzone - Service Charge	(26,678)	(26,545)
MKN Embassy Techzone - Assesment	(2,061)	(2,061)
MKN Embassy Techzone - Insurance Premium	(1,433)	-
MKN Embassy Techzone - Sinking Fund	(2,655)	(2,655)
MKN Embassy Techzone - Quit Rent	(1,409)	(1,409)
	(28,023,045)	(29,150,868)

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DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTD.)

	2024 RM	Restated 2023 RM
Less: Finance cost		
Bank Charges	(101,596)	(84,709)
Foreign Exchange Loss	(28,104)	(266,580)
Guarantee Government Scheme (SJPP)	(133,303)	(133,303)
Interest - Hire Purchase Hong Leong	(4,224)	(2,000)
Interest- Boost Credit (AXIATA)	(54,000)	-
Interest Charges - Others	(668,728)	(48,398)
Interest - SME	(223,734)	(366,780)
Interest - TL Koperasi Tentera	(350,595)	-
Loss On Iinvestment	(1,000)	-
Interest - Term Loan Maybank	(408,375)	(387,138)
Interest - Ambank BA Cash Line	-	(1,870)
Interest - TL AB	-	(31,032)
	(1,973,658)	(1,321,810)
Profit/Loss before taxation	1,318,896	326,231
Taxation	(31,200)	1,607,832
Adjust to Retained Earnings	60,853	-
Net profit/ loss	1,348,549	1,934,063